

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Case No.: 22-23

MARINE TRANSPORT LOGISTICS, INC

Complainant

vs.

CMA CGM S.A.

Respondent

BRIEF OF THE COMPLAINANT

In *J.M. Altieri v. Puerto Rico Ports Authority*, the Commission stated: “A dispute as to liability for demurrage or as to the amount of it; or even a persistent and continuing shuffling of the accounts of importers might fall within section 17.” 7 F.M.C. 416, 420 (ALJ 1962). Additionally, the Commission stated: “If the action of respondent were one of a series of such occurrences, a *practice* might be spelled out that would invoke the coverage of section 17.” *Id.*

Booking #NAM4887632, Container #TGBU5073710

On March 3, 2022, MTL advised CMA to reroute the subject container to the Port of Bremerhaven. (Ex. 1_CMA Bates #585).

On March 15, 2022, an internal CMA email discusses MTL’s change in destination request to Bremerhaven: “{}” (Ex. 2_CMA Bates #95).

Instead, without notice to MTL, the subject containers were diverted to the Port of Constanta against MTL’s instructions to divert such to Bremerhaven, as CMA wrote to MTL on April 1, 2022: “The cargo has already been discharged in Constanta do you just want to pick cargo up there?” (Ex. 3_CMA Bates #579).

MTL replied on the same day: “Hello, no sorry, customer is insisting on Bremerhaven, thanks.” (Ex. 4_CMA Bates #577).

This customer of MTL who insisted on the subject containers to be sent to Bremerhaven as originally instructed was Andrey Kodrianka. As Maria Bondarev from CIS Development (also MTL’s client) testified: “Agents of Odessa asked all the containers to be delivered to Bremerhaven, the agents of Kodryanka.” (Ex. 5_ p.17). This agent of Kodryanka was “Favoritplus.” (*Id.* at p.24).

In the meantime, CMA has been contacting MTL’s client to pay for demurrage at the Port of Constanta — even though MTL did not ask for any of the subject containers to be delivered there — before allowing the subject container to continue its journey to Bremerhaven as is evident by the following communications from CMA in April through July of 2022:

On April 14, 2022, CMA wrote to MTL’s client’s agent (Favoritplus) and said: “Dear Customer, POD for NAM4887632 is updated to Constanta. Pls advise when are you going to pick up the cargo. Demurrage and storage are increasing on a daily basis.” (Ex. 6). Incidentally, this email was omitted from CMA’s production of documents, which is why it does not contain a CMA bates number.

As Julia Privalova from MTL wrote to CMA on April 21, 2022: “Please help. Container is idling in Constanta port, but we didn’t ask to deliver I there, we asked to deliver to BREMERHAVEN!!! Why nothing is being done?? Why is my customer being chased and asked to pay for storage/demurrage????? I need this to be resolved today, please.” (Ex. 7_CMA Bates #557-558).

On May 6, 2022, an internal CMA email concerning this subject container and other containers of other customers reads as follows: “{ }” (Ex. 8_CMA Bates #70989-70990).

On July 5, 2022, CMA (Oksana Muraya) continued to contact MTL's customer's agent (Favoritplus) for demurrage and storage that accumulated in the Port of Constanta: "We are planning to load container on Stadt Dresden on Jul.19 to Bremerhaven. Please advise if Cnee will be Favorit Plus or to be amended. Thanks to revert with payer and payment location of charges occurred in Constanta, i.e. storage and yard moves since without duly manifested charges container won't be loaded." (Ex. 9). This email was also not included in CMA's document production.

CMA never provided copies of any of the referenced invoices for Constanta. In an email dated February 11, 2024, CMA says: "{}" (Ex. 10_ page 1).

The attached invoice as to this subject container is dated February 5, 2024. *Id.* at 21. Notably, when looking at this invoice issued almost two years after the subject containers were held at Constanta, it says in the description: "{}" *Id.* This invoice does not list the location of such ports or the periods of storage.

It appears that CMA never sent invoices for any demurrage, only emails trying to collect demurrage, as CMA says: "{}" *Id.* at 4.

Demurrage continues to accumulate as CMA delays changing the consignee:

On July 8, 2022, MTL wrote to CMA as to the subject containers: "Multiple requests and reminders sent to CMA to change destination and consignee, but CMA first completely ignored the request so I had to ask Kiala for help. CMA's customer service either ignores requests completely or replies with huge delays. These charges were all caused by CMA's delays." (Ex.11_ CMA Bates No. 495-496).

On July 11, 2022, Ms. Muraya from CMA wrote to Favoritplus: "We'll fail to catch Stadt Dresden ETS Jul.19 without payment confirmation and confirmed CNEE Please revert with

payer and payment location and let us know if Favorit Plus will stay CNEE in Bremerhaven.” (Ex. 12). This email too was not produced in discovery by CMA.

Here, we see that CMA continued to delay placing the subject containers to their ultimate destination of Bremerhaven as initially requested until they collect demurrage and storage charges for the Port of Constanta, without providing any invoices for such.

On July 14, 2022, Ms. Muraya wrote again to Favorit Plus stating that now the plan was to load the container on July 30, 2022 if the charges occurred in the Port of Constanta would be paid: “Please note that we are going to load below unit on GSL Susan 0BMHUS1MA 30.07.22. Please revert with payer and payment location of charges occurred in Constanta such as storage and yard move...” (Ex. 13_ CMA Bates #961).

When I asked to depose Ms. Muraya, CMA’s attorneys told me that they could not locate her. I followed up on January 26, 2024, with my request for additional discovery noting that it is hard to believe that this email was the only document or communication available on CMA’s efforts to collect for demurrage/storage at the Port of Constanta. (Ex. 14). CMA did not produce any additional documents directly on this point. I have requested in discovery copies of actual invoices for demurrage that were sent to MTL’s customers, but such too was not produced. *Id.*

On July 18, 2022, MTL sent another reminder and complaint to CMA that the subject containers have not been released. (Ex. 15_ CMA Bates #982-984)

On the same day, July 18, 2022, CMA’s Oksana Muraya sent an internal email: “Dear US Team, Please check with Shipper a payer and payment location of charges occurred in Constanta such as storage and yard moves.” She then adds: “Please note that CNEE address hasn’t been updated for NAM4887632, container has been cut from loading list and rolled on Ambarli Aug. 07. We’ll revert with updated charges of storage asap.” (Ex. 16_ CMA Bates #1117-1119).

Now we see that when MTL was writing to CMA as to the change in destination and consignee, such were delayed because CMA was running around trying to collect demurrage/detention occurred at the Port of Constanta, thereby accruing more charges.

There is no evidence that CMA ever advised MTL or any of its customers as to why none of the subject containers were promptly loaded onto a vessel in Constanta for its final destination to Bremerhaven. In fact, during the depositions of CMA, the witnesses were reluctant to admit that the subject containers were even present at the Port of Constanta. (Ex. 17).

I again go back to Ex. 8_CMA's Bates # 70989-70990, where one CMA unit (Anna Sorochan from CMA's Intermodal Department) is writing on May 6, 2022 to another with respect to 22 containers (including one of MTL's subject containers) and telling them to inform the shipper to push the consignee to pick up the cargo asap due to accumulation of demurrage and storage charges. It is reasonable to believe from this email that CMA has delayed to inform the shippers about these containers in order to collect demurrage charges. Why aren't the other clients of CMA picking up these containers that are idling in Constanta? It is reasonable to assume that just like MTL, they were not made aware that CMA would delay loading these containers at Constanta for its final destination and did not notify the shippers of such.

There was no opportunity to follow up on this point with additional request for discovery because even though CMA promised to provide these documents on a rolling basis (See Docket Entry #47 at p. 2, footnote 2), they provided over 20,000 on the last and final date of discovery on April 16, 2024. In this footnote CMA says: "CMA will of course make these productions on a rolling basis in order to complete them as soon as possible." Of course, this was not done. Even though they made this representation on January 23, 2024, they delayed production until April 16, 2023.

In another example, a company by the name of TMM International wrote to CMA as follows on June 30, 2022 concerning Booking CMAU6207108/Container TCNU2194554 that was idling in the Port of Constanta: “{}” (Ex. 18_CMA Bates #66718).

Concerning the same containers, the original consignee wrote: “{}” (Ex. 19, CMA Bates #66849-66850).

However, CMA said on July 7, 2022: “{}” (See Ex. 18 at p. 1).

This is supported by the fact that the same CMA unit (Anna Sorochan from CMA’s Intermodal Department), on July 8, 2022, is sending out the same email to CMA’s other office as there was no response.

“{}” (Ex. 20_CMA Bates #94668).

The rest of the subject containers followed a similar pattern:

Booking #NAM4996094, Container #UETU5251612

On March 3, 2022, MTL advised CMA to reroute the subject container to the Port of Bremerhaven. (Ex. 21).

On March 9, 2022, MTL sent a follow up. (Ex. 22)

On March 11, 2022, MTL sent another follow up. (Ex. 23)

On March 15, 2022, CMA finally responded and added their “diversions” team. (Ex. 24).

On March 25, 2022, MTL sent another request to CMA as to the change of destination and consignee. (Ex. 25).

On June 14, 2022, MTL notified CMA that the consignee has not been changed to date. (Ex. 26).

Just as CMA did not produce certain communications concerning demurrage charged concerning the Port of Constanta, they did not provide any documents concerning this container as well for the demurrage/storage charges concerning the Port of Constanta or at any other

transshipment port that this container may have gone through. During the deposition, CMA tried to avoid admitting that this and the other below containers ended up in the Port of Constanta, but I believe it is clear that CMA finally admitted to such (See Ex. 17 at page 9):

MTL does not have such documents as Mr. Kodryanka (the consignee on all of the subject shipments (Ex. 27B) and MTL's client (See MTL's affidavit at Ex. 27C) has not had contact with MTL since this happened. (Ex. 27), and there is no evidence that CMA has ever informed MTL or its customers why the containers were not immediately loaded in the Port of Constanta and idled there for months.

As a result of the foregoing, MTL lost the "Kodryanka" client with a list of transactions attached as Ex. 27A. (See also Ex. 27C). Incidentally, CIS Development testified that Kodryanka stopped working with them as well for approximately 6 months because of this:

Ex. 5, p. 14-15:

Q. With respect to the five containers that CIS hired MTL to deliver from New York to Odessa in early 2022, the containers were either Public Organization Kodryanka or Favorite Plus were the consignees. What happened to those five containers?

A. They stayed for a long time in Constanta. We actually had them to be delivered to Bremerhaven, but they were delivered to Constanta and then, eventually, they were probably received by the recipient. But for a very long time, they didn't work with us. For several months, they didn't work with us because of that, Kodryanka.

CMA did, however, provide demurrage charged for the time the subject containers were in Bremerhaven. CMA admitted that these charges should not have been issued as this was the fault of CMA. Specifically, CMA finally wrote on August 9, 2022: "Demurrage and Storage need to be cleared for the above BLs due to CCA error in COD and Doc completion..." (Ex. 28_CMA Bates #1145).

Irrespective of this email, MTL still has not received the invoices as the following email on August 10, 2022 demonstrates: “Still no invoices. I do not understand how you can hold the containers due to the unpaid balance for the demurrage and storage charges, but cannot give us the invoice where we will see the charges...” (Ex. 29_CMA Bates #967).

Booking #NAM4887650, Container #SEGU6471959

On March 3, 2022, MTL advised CMA to reroute the subject container to the Port of Bremerhaven. (Ex. 30).

On March 11, 2022, having received no response, MTL sent a follow up message. (Ex. 31)

On March 15, 2022, CMA finally responded: “adding in our diversions team.” (Ex. 32).

On April 5, 2022, CMA finally advised that the destination has been changed to Bremerhaven, but the change of destination has been completed on April 12, 2022. (Ex. 33 and 34).

On June 3, 2022, MTL notified CMA that they forgot to change the consignee. (Ex. 35).

Booking #NAM4887651, Container #UESU5180789

On March 3, 2022, MTL advised CMA to reroute the subject container to the Port of Bremerhaven. (Ex. 36).

As of June 20, 2022, this container was still not released. (Ex. 37).

Booking #NAM5020932, Container #TRLU7542206

On March 3, 2022, MTL advised CMA to reroute the subject container to the Port of Bremerhaven. (Ex. 38).

As of June 7, 2022, CMA still had not changed the consignee irrespective of MTL advising to change such. (Ex 39).

Booking #NAM3933751, Container #TCNU3475181

On June 19, 2020, CMA notified MTL: “Boats are restricted or sensitive as per EU regulation on Libya...” (Ex. 40 at p. 1).

MTL responded: “There are no boats in the container. We loaded 3 cars and a jet ski with the trailer (see attached picture).” *Id.* The title as to the jet ski is attached as Ex. 40A and Bill of Sale as Ex. 40B.

CMA responds: “Per Malta customs Jet skis fall under the same category for this.” Ex. 40 at p. 1. CMA never produced any documents from any Malta customs.

This was a false statement by CMA as other carriers, in the same time frame, were not only shipping jet skis to Libya, but also boats. (Ex. 41).

On August 7, 2020, CMA wrote to MTL: “Hi Julia, understand it was in-gated a week prior to the notification, but that still does not change the fact that EU regulations prohibited this container from moving to Libya.” (Ex. 42, CMA Bates #945).

Here, we see that CMA intended and was able to ship this container on time as the container was in gated.

On September 8, 2020, MTL wrote to CMA: “Hello Andre, container is arriving this week and issue has not been resolved yet. You promised to send Alla email on Friday but she didn’t receive anything from you. MTL will not be responsible for any storage/demurrage charges at destination cause CMA had enough time to fix this issue, thanks.”

Of course, the issue has not been resolved because CMA delayed such for the purpose of issuing charges for detention/demurrage, which they did a few weeks later. (Revised Invoice attached as Ex. 44)

CMA did not provide any documents in connection with this dispute. We know that such documents exist as, for example, CMA's Andre Ristic wrote on July 29, 2020: "This is currently under review of executive management." (Ex. 45). Similarly, CMA's Container Incident Management Team responded: "I pushed to try and get all costs waived and had the matter reviewed by upper management." (Ex. 46). CMA provided zero documents concerning these communications by upper management.

CMA did not inform MTL that demurrage would continue to accumulate while the dispute was pending.

As a result of the foregoing, MTL suffered lost business from its client (ALMOTWASIT FOR SELLING AND PURCHASING OF AUTOMOBILES) who stopped working with MTL as a result of this. (Ex. 27C, Ex. 47 and Ex. 48).

Booking #4588370 (Allegations #34-36)

Irrespective of requesting such, CMA did not produce any documents concerning these allegations; therefore, it is respectfully being requested that allegations #34-36 in the Verified Amended Complaint be accepted as proof. Additionally, see Ex. 51 that proves that CMA mistakenly rolled another container and continued to pursue demurrage charges.

MTL explained to CMA: "This container has been rolled due to allegedly missed documentation, which both the shipping instructions and validated titles have been submitted

before due time. Please also see attached correspondence with your team proving the same. Kindly remove all the roll over and demurrage charges.” (*Id.* at p. 9).

Booking #NAM5194626 (Allegations 37-40)

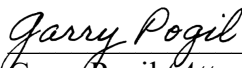
This is another case where CMA mistakenly rolled the container and tried to collect demurrage. MTL requested CMA to look into this and provided all proof in April of 2022. (Ex. 52). It was not until approximately 10 months later, on January 18, 2023, that CMA responded: “{}”(Ex_53, and the subject invoice at Ex_54).

FMC 18-07 Proceeding

The Verified Amended Complaint is enclosed as Ex. 49, where the shipments that are the subject of that proceeding were not delivered to their final destination for over 6 months, and CMA sought astronomical detention/demurrage charges before releasing such. Some communication is attached collectively as Ex. 50.

WHEREFORE: As a result of the foregoing, it is respectfully being requested that a finding should be made that CMA violated the Shipping Act and damages should be awarded as delineated above.

May 17, 2024



Garry Pogil (*Attorney for the Complainant*)